Common Fraud – Production Department (ABC Ltd. Kenya)

1. Over-usage of raw materials to hide theft (classic – 1,000 kg extra sugar "used" = 1,000 kg stolen)
2. Under-reporting production (declare 18,000 litres UHT but actually run 22,000 litres – 4,000 litres diverted and sold cash in Nakuru/Nairobi black market)
3. Deliberate adulteration (adding water, vegetable oil, urea, caustic soda, detergents to milk to increase volume)
4. Fake machine downtime declared to run extra unauthorised shifts at night (sell products cash)
5. Recycling rejected/faulty products back into production after changing batch codes
6. Fake batch codes & re-labelling expired/short-expiry stock
7. Deliberate over-packing (putting 1,050 ml in 1,000 ml pouch – 50 ml extra x 50,000 pouches = 2,500 litres free milk daily)
8. Under-packing (putting 940 ml in 1,000 ml pouch – difference stolen)
9. Mixing returned/expired milk back into fresh milk tank
10. Fake cleaning cycles (CIP declared for 4 hours but actually run for 30 minutes – balance time used for unauthorised production)
11. Fake quality failures – reject good milk to buy cheaper adulterated milk from outside
12. Selling rejected butter/ghee/powder in black market
13. Running plant on generator and siphoning diesel (declare 500 litres but use 300)
14. Fake maintenance breakdowns to stop official production and run cash production
15. Ghost shifts – run plant at night with security guards, no record
16. Tempering with flow meters, weigh scales, level sensors
17. Creating fake product codes for cash sales
18. Taking bribes from packaging material suppliers to accept sub-standard films (which burst later – company loss)
19. Collusion with maintenance team to declare machines unrepairable and buy new ones on kickbacks

Below is the bullet-proof, ruthless, CFO-controlled SOP for Production Department.

Detailed Production Department SOPs – CFO Controlled

1. Bill of Materials (BOM) & Recipe Locking

- Every SKU (UHT Milk 500ml, Yoghurt 500g, Soda 500ml, Juice 1L, etc.) must have a locked BOM in the ERP with exact theoretical consumption per 1,000 litres/kg.
- BOM can be changed only by CFO + CEO written approval after physical trial and sign-off by Quality Head.
- System must calculate daily theoretical consumption based on actual production declared.
- Daily variance report (actual vs theoretical) auto-generated and emailed to CFO by 8 AM next day.
- Tolerance: ±2% normal, 2-4% yellow flag (explanation required), >4% red flag – immediate CFO video call + physical audit within 24 hours.
- Monthly BOM audit by Nairobi internal audit team.

2. Production Planning & Declaration

- Daily production plan approved by Nakuru Plant Head + Nairobi Commercial Head latest by 4 PM previous day.
- No unapproved production allowed. Any deviation requires CFO WhatsApp approval with photo evidence.
- Shift-wise production declaration mandatory within 30 minutes of shift end.
- Declaration only by Shift In-charge + Production Manager + Quality In-charge (three digital signatures in ERP).
- Finished goods must be moved to finished goods warehouse within 1 hour of production with system transfer.

3. Real-Time Production Monitoring (Non-Negotiable)

- Install IP cameras with audio at all critical points:
    - Milk reception platform
    - Pasteurizer inlet/outlet
    - All filling machines (at least 3 angles)

    - Packaging area
    - Finished goods transfer conveyor
    - Cold room entry/exit
- Live feed accessible 24×7 to CFO, CEO and me (Owner) on mobile app.
- Night vision + audio mandatory.
- Recording retained for 90 days.
- CFO or internal audit team can switch on audio any time without notice.

4. Flow Meters & Sensor Tempering Prevention

- All milk lines, water lines, juice lines must have electromagnetic flow meters with pulse output connected directly to ERP (non-resettable).
- Seal all meters with numbered plastic seals + photographs uploaded daily.
- Any broken seal = immediate suspension of shift in-charge + forensic investigation.
- Install secondary check-weighing of finished products – every crate must be weighed automatically and matched with theoretical weight.

5. Weight-Based Reconciliation (My Secret Weapon)

- Every single crate/pallet of finished goods must pass through automated check-weigher before entering cold room.
- System auto-rejects under/over weight crates.
- Daily report: Actual weight dispatched vs theoretical weight from BOM.
- Variance >1.5% triggers automatic plant shutdown until investigated.

6. Yield Tracking & Low Yield Triggers

- Daily yield report mandatory by 9 AM:
    - Milk to UHT milk yield (min 98.5%)
    - Milk to yoghurt yield (min 96%)
    - Sugar syrup yield, etc.
- Yield below target for 2 consecutive days = automatic suspension of Production Manager + compulsory CFO visit within 48 hours.

- Yield below target for 5 days in a month = termination of Production Manager.

7. Quality Control – Completely Independent

- Quality team reports directly to CFO (dotted line), not to Plant Head.
- Random samples from every batch taken by Quality Officer (not production) and tested in independent lab.
- One sealed sample of every batch retained for 90 days in locked cold room (key with CFO nominee).
- Any adulteration detected = immediate termination + police case + personal recovery from salaries.

8. Machine Hour Logging & Downtime Fraud Prevention

- All major machines (pasteurizer, homogeniser, fillers) connected to IoT hour meters sealed and connected to ERP.
- Downtime reason must be entered real-time with photo evidence.
- Fake downtime >30 minutes requires video proof + CFO approval.
- Night production only with prior written CFO approval (max 4 nights per month).

9. Cleaning (CIP) Monitoring

- CIP cycles fully automated and logged in system with conductivity, temperature, flow recording.
- Manual CIP not allowed.
- Any deviation auto-alert to CFO mobile.

10. Manpower Attendance & Ghost Workers

- Biometric + facial recognition attendance mandatory.
- No manual attendance.
- Overtime only with prior written approval from Nairobi HR + CFO.
- Random physical head count by internal audit team every week.

11. Diesel & Utility Monitoring

- Diesel tank with digital level sensor connected to ERP.

- Daily opening + receipt + consumption + closing balance.
- Generator running hours logged automatically.
- Variance >3% investigated immediately.

12. Packaging Material Reconciliation

- Daily packing material issue vs production reconciliation.
- Variance >0.8% triggers investigation.
- All rejected pouches/cracked bottles weighed and recorded with CCTV.

13. Rejected/Returned Goods Handling

- Separate locked area for rejected/returned goods.
- Disposal only in presence of CFO nominee + Quality Head + Finance.
- Video recorded disposal.
- No recycling without written CFO approval.

14. Surprise Audits & CFO Physical Visits

- Unannounced CFO or internal audit visit minimum twice a month (one during night shift).
- Full production floor audit, tank dipping, batch record checking, sample testing.
- Any discrepancy = immediate suspension of entire shift team.

15. Daily Production Dashboard to CFO (by 8:00 AM)

Must contain:

- Yesterday's production vs plan
- Raw material consumption vs theoretical
- Yield % for each product
- Packing material variance
- Utility consumption per 1,000 litres
- Downtime hours with reasons
- Quality test results pending

- Diesel consumption

16. Monthly Production Review Meeting (Chaired by CFO in Nakuru)

- Plant Manager, Production Manager, Quality Head, Maintenance Head must present.
- Recorded on video.
- Action points with deadlines and responsibility.

17. Key Performance Indicators (KPIs) for Production Team

- Production Manager bonus linked to:
  - Yield improvement
  - Material variance <1.5%
  - Zero adulteration cases
  - Zero night cash production
- If any fraud detected in his tenure → forfeit entire bonus + termination.

18. Whistleblower Mechanism Inside Plant

- Direct anonymous WhatsApp number to CFO and Owner.
- Reward KES 100,000 to 500,000 for proven information leading to recovery.

No excuses. No mercy. No leakage.